NATIONAL UNIVERSITY OF SCIENCE AND TECHNOLOGY

FACULTY OF COMMERCE

DEPARTMENT OF ACCOUNTING

TAXATION 1

CAC 4102

MAIN Examination Paper

JANUARY 2021

This examination paper consists of 11 pages

Time Allowed: **3 hours**

Total Marks: **100**

INSTRUCTIONS

1. Answer ALL four (4) questions
2. Use of calculators is permissible
3. Tax rates tables are attached **(Use the 2021 Tax rates)**

MARK ALLOCATION

QUESTION	MARKS
1.	30
2.	25
3.	25
4.	20
TOTAL	100

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QUESTION 1 (30 MARKS)

Butjilo Dube is a qualified accountant who has been working for Inns Africa for the past 25 years in various capacities. Butjilo had started working for Inn Africa when she was 25 years of age fresh from NUST. In 2021 due to the economic hardships and liquidity challenges that the group was facing, management of Inns Africa decided to undertake a restructuring exercise to realign the group's operations. As part of the restructuring exercise, Butjilo was retrenched along with 30% of the entire workforce at Inns Africa. Inns applied for the relevant approvals in respect of the retrenchment exercise and these were duly granted in August 2021 assigning an effective date of 1 October 2021 for the retrenchment to take effect.

Upon being retrenched in October 2021, Butjilo was in receipt of the following amounts:

- Butjilo was offered to acquire the motor vehicle she had been using during her time of employment for $100 000. The motor vehicle has an engine capacity of 3000cc and she has been using it for the past 3 years. Inns Africa had acquired the vehicle in 2019 for $220 000 and as at October 2021 the vehicle had a market value of $ 160 000.
- Cash in lieu of leave days $800 000
- Gratuity $400 000
- Office furniture with a market value of $ 120 000. Butjilo did not pay any consideration for the furniture.

Butjilo's related earnings for 2021 tax year were as follows:

	Notes	$
From Inn Africa (Jan to Sept)		
Gross monthly basic salary		150 000
School fees allowance		80 000
Bonus	1	300 000
Refund of benefit fund contributions	2	280 000
Annuity	3	60 000
Pension receipts	4	1200 000
Entertainment allowance	5	20 000
Overseas travel	6	75 000
Employee contributions to benefit fund	2	(6 000)
Employee pension contributions		(30 000)
Retirement annuity fund contributions		(3 500)
Loan repayment	7	(24 000)
Employee contributions to medical aid	8	(9000)
Funeral insurance policy contributions		(6000)
Trade and investment income		
Lease improvement		400 000
Rental income from property in Angola		60 000
Non executive director's fees		88 500
Monthly rental from Bulawayo property		10 000
Net Bank interest from Botswana (after withholding 10% tax)		60 000
Net Dividends from Zambia (after withholding 5% tax)		50 000

Notes

1. Inns' financial year is 30 June. During the financial 2021 in order to appease the employees of the impending retrenchment scheme, Inns paid a bonus of double each employee's basic monthly salary.
2. This amount is a refund in respect of contributions, which Butjilo made to a non registered benefit administered by Inns. The amount refunded to Butjilo is made up of her own contributions of $220 000 made over the years and the difference is the interest component.
3. Butjilo is entitled to receive this amount annually from the retirement annuity fund (RAF) which matured during the course of the year. In terms of the RAF rules, Butjilo will receive the same amount over the next 11 years (amount is receivable over 12 years in total). A total of $240 000 of his contributions, was disallowed as a deduction.
4. This amount was refunded to Butjilo when he was retrenched from Inn and she opted to withdraw from Inn's employer registered pension fund. Her contributions to the fund had been allowed in full over the years. Her pension entitlement was $4 500 000. She elected for commutation.
5. An entertainment allowance of $20 000 per month of which she proved to the company that she always expended 40% on the employer's business.
6. The overseas travel was for a business trip in Belgium where Butjilo spent 10 days of which 4days she spent meeting various clients of Inns Africa.
7. This loan repayment is towards a $120 000 advanced to Butjilo in June 2021 and was to be repaid after the expiry of 2years. Butjilo paid interest of 1% on the principal amount outstanding on the loan. Libor for the year 2021 was 2.5%. In October 2021 when Butjilo was retrenched Inn decided to waive the payment of the remaining loan balance. The $24 000 is the only payment that Butjilo had made towards the outstanding loan.
8. During the tax year, Butjilo incurred personal medical expenses of $60 000 of which 60% were reimbursed by Medical aid fund. She also spent $20 000on the purchase of a wheel chair for her 12 year old son who was involved in a car accident.
9. The amount relates to a lease improvement made by one of his tenants. Butjilo had entered into a 9 year lease agreement with the Bulawayo tenant on 1February 2021,

where the tenant had an obligation to erect a double door garage worth $400 000. The improvement were completed on I June 2021 and put into use 1October 2021.

Additional information

In January 2021, Butjilo had been granted free use of a company house. Market rentals around the area are $40 000 .Inns had incurred $10 000 furnishing it

Butjilo contributes to NSSA.

REQUIRED

a) Calculate Butjilo's minimum tax liability from for the year ended 31 December 2021 **(25 marks)**

b) State the legislative provision in respect of Pay As You Earn according to the 13th Schedule of the Income Tax Act **(5 marks)**

QUESTION 2 (25 MARKS)

Mini Ndlovu has been a Zimbabwean resident since birth in 1981. In March 2019 Mini's father passed away and in terms of his father's will. He inherited the following assets:

Asset	**Market value**	**Deceased Estate valuation**
Toyota Prado	180 000	170 000
House in Sunning Hill (Bulawayo)	600 000	550 000
Shares in Econet Zimbabwe (1000shares)	360 000	360 000
One bedroomed flat in Bulawayo (CBD)	250 000	250 000

Mini assumed effective ownership of the above-mentioned assets on 1 August 2019. During August, Mini immediately moved into the house in Sunning Hill since he had been renting an apartment in the Bulawayo CBD. Therefore, the Sunning Hill house became his principal private residence as defined in Section 21 of the Capital gains Tax ACT. Mini decided to lease the one bedroomed flat to a tenant who in terms of the lease agreement is paying $6000 per month for

the duration of the lease term which 5 years. Since the Toyota Prado was still in good condition, Mini sold his Mazda 323 for $15 000 and started using the Toyota Prado for his personal use. Over the years, Mini had made the following improvements to his property:

House in Sunning Hill:	**ZWL**
Durawall- 2019	60 000
Swimming pool -2020	100 000
Drilling borehole- 2021	40 000

One bed roomed flat	**ZWL**
Lock up garage -2019	80 000

Since 2008, Mini had been working for Innscor Africa as a Sales Manager. In 2021 because of expansion of the company, Mini was transferred to Masvingo effective March 2021 as a Marketing manager for a new deport. Due to the relocation, Mini decided to dispose of his 3 assets in Bulawayo as follows:

Sunning Hill residence:

Mini disposed of the house through John Pocock estate agent that charged him 5% of his gross proceeds as commission. In April a buyer was found and a sale price of $1800 000 was agreed on, which was immediately settled the same month.

One bed roomed apartment

Due to his high asking price and the economic challenges prevailing in Zimbabwe, Mini had difficulty in disposing of the apartment. However, in October 2021, a buyer was found and the following terms were agreed:

	ZWL
Sale	900 000
Payable in the following instalments:	
30 October 2021	350 000
31 January 2022	450 000

30 April 2023

As at 31 December the buyer had already settled the 1st instalment which was due on 30 October 2021. 100 000

New house

Upon relocating to Masvingo, Mini decided to acquire another house using proceeds from the disposal of his Principal Private Residence in Bulawayo. In October he acquired a house for $800 000 which he immediately moved into with his family.

Other transactions

- During 2021 tax year, he disposed of his trademark that he had registered in 2016 at a cost of US$ 10 000. The total proceeds from the disposal amounted to $1000 000.

REQUIRED

In respect of the 2021 tax year, calculate the Capital Gains Tax payable/ refundable by or to Mini. Assume that he has always claimed available capital allowances on the one bed roomed apartment in terms of the Income Tax Act. Address the disposal of all the sold assets **(25 marks)**

QUESTION 3 (25 MARKS)

Danisa and Sipho practice as dental surgeons in Harare. They submit the following profit or loss account in support of income returns for the tax year ended 31 December 2021.

		ZWL		ZWL
Insurance premiums:			Fees accrued	6 398 500
Loss of profit		6 000	Bad debts recovered	184 000
Fire		3 600	Bank interest	175 000
Partnership joint life policy		3 800	Debenture interest	120 000
Life policies for benefit of:			Dividends Delta Corp Ltd	90 000
Sipho	160 000			
Danisa	100 000	260 000		
Medical contributions:				
Danisa	52 000			
Sipho	32 000			
Staff	110 000	194 000		
Staff salaries		1 680 000		
Annuity to widow of deceased employee		210 000		
Interest on capital: Danisa		48 000		
Sipho		44 000		
Bad debts		97 000		
Trade subscriptions		10 000		
Operational expenses		1 016 000		
Depreciation		86 000		
Net Profit:				

Danisa 60%	1 985 460		
Sipho 40%	1 323 640		
	3 309 100		6 967 500
	6 967 500		

Notes

1. Partners drawings were Sipho $180 000 and Danisa $290 000
2. Bad debts recovered include an amount of $16 000 on account of a loan previously written off as bad and not allowed as a deduction for tax purposes.
3. Bad debts are made up as follows

Provisions of for doubtful debts calculated at 5% of debtors	43 000
Fees unpaid	26 000
Loan to former manager now irrecoverable	28 000
	97 000

4. Fixed Assets in the hands of the partners at the beginning of the year are as follows:

Depreciation of Asset	Date Acquired	Original Cost $
Office furniture and equipment	Jan 2019	15 000
Surgery Equipment	Jan 2020	70 000
Truck -Donated to the practice	Jun 2018	6 000

NB*The partnership elects to claim SIA

5. Sipho borrowed money to purchase his share in the partnership practice, interest payable during the year amounted to $120 000.
6. Danisa and Sipho paid $230 000 and $255 000 respectively to approved retirement annuity funds
7. Sipho travels extensively for the practice and provides his own transport. He rented a car for $9000 a month for 6 months from 1 January 2021 and 1 July 2021 purchased a Madza sedan vehicle car for $150 000. His running expenses for six months to 31 December 2016 were $21 000. It has been established that his non- business travel has at all times been 10% of the total
8. Sipho is unmarried but has a disabled child aged 10. In addition to his income from the partnership he had the following income:

ZWL

Dividends from companies registered in Zimbabwe	40 000
Interest from Botswana (after withholding 10% tax)	25 000
Rent from UK property	100 000

9. Danisa is married with two children and during the year his medical aid shortfalls were $36 000

REQUIRED

Calculate the tax payable by Danisa and Sipho in respect of the tax year ended 31 December 2021 **(25 marks)**

QUESTION 4 (20 marks)

a) Under what circumstances would the Commissioner of Taxes estimate a taxpayer's income and issue an assessment in terms of section 45 of the Act. **(3 marks).**

b) Section 46 of the Income Tax Act authorises the Commissioner to charge additional tax on taxpayers under five circumstances. Elaborate on these circumstances and indicate how the additional tax is calculated for each. **(10 marks).**

c) A registered operator supplies accommodation to his employees. The employees are obliged, terms of their conditions of service to reside in the accommodation provided for them. Part of the residence is also used in the making of taxable supplies

Required: What are the VAT implications of this arrangement? **(3 marks)**

d) Miss Paidamoyo entered into a lay-bye agreement with Expresso Clothing Ltd, a registered operator, on 3 March 2021 for the purchase of a wedding dress costing $8500. She paid a deposit of $1000 and is required to make further instalments of $2500 each, on the first day of April, May and June respectively. Miss Paidamoyo would take delivery of the dress in June 2021.

In terms of the agreement, should Miss Paidamoyo fail to make any further payments within 3 months after the deposit, the sale would be cancelled with Expresso Clothing Shop retaining the deposit.

Required: What are the VAT implications of the transactions and what would be the time and value of supply thereof

(4 marks)

TAX TABLES

Employment tax rates

Range	Rate	Tax	Cum tax
0 - 120 000	0%	-	-
120 001 – 360 000	20%	48 000	48 000
360 001 –720 000	25%	90 000	138 000
720 001 – 1 440 000	30%	216 000	354 000
1 440 001 – 3 000 000	35%	546 000	900 000
3 000 001 and above	40%		

OR

Range	Tax rate (Multiply)	Deduct
0-120 000	0%	-
120 0001-360 000	20%	24 000
360 001-720 000	25%	42 000
720 000-1 440 000	30%	78 000
1 440 001-3 000 000	35%	150 000
3000 001 and above	40%	300 000

END OF EXAMINATION PAPER